

REC Ltd

Investment Rating : Weak

Company Overview

Website	https://recindia.nic.in/
Sector	nan
Market Cap	291,917.42 Cr
PE Ratio	31.49
PB Ratio	4.59
Dividend Yield	2.18 %

Financial Quality

ROE	22.2
ROCE	10.0
CFO Quality	Accrual Risk
FCF CAGR	nan%
Capital Pattern	Aggressive

Capital Allocation

Capital Score	50.0
Reinvestment	Low Reinvestment
Debt Trend	Increasing Debt
Leverage	Very High

Business Overview

REC is a Central Public Sector Undertaking under the Ministry of Power involved in financing projects in the complete power sector value chain from generation to distribution. [1]

Strengths

Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.
Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

Debt-to-equity ratio of 6.42 is elevated for a non-financial company and warrants monitoring.
Free cash flow negative for 3 consecutive years raises concern about cash generation quality.
Rising debt over the past 3 years suggests increasing financial leverage risk.

Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital.
Net debt exceeding three times operating profit indicates elevated financial leverage.